

May 2026 Presentation Context

FY2025 Annual Report

# NovaNest Technologies Ltd.

Annual Report & Investor Pack

London, United Kingdom

Prepared for academic presentation and project submission

Reporting period: Financial Year ended 31 December 2025

Presentation date context: May 2026

# 1. Executive Overview

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This document is an educational investor pack prepared for project submission. It is written as if the team is presenting in **May 2026** and discussing the company's results for **financial year 2025** and its growth plans for **2026-2027**.

## Company Profile

**Company name:** NovaNest Technologies Ltd.

**Business structure:** Private limited company (Ltd.)

**Headquarters:** London, United Kingdom

**Founded:** 2021

**Industry:** Smart home software / SaaS

## Core Offer

NovaNest develops plug-and-play smart home automation software for modern households. The product proposition focuses on convenience, affordability, and ease of use for families and homeowners who want connected living without technical complexity.

## Mission Statement

NovaNest Technologies Ltd. exists to make smart home technology accessible, affordable, and easy to use for modern households.

## Vision Statement

Our vision is to become one of Europe's most trusted smart home software providers by 2030.

## Objectives as of May 2026

- Launch version 3.0 of the NovaNest platform by Q4 2026.
- Grow the active subscriber base to 50,000 users by mid-2027.
- Expand into Germany, France, and the Netherlands during 2026-2027.

# 2. Why the Business Structure Fits the Company

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NovaNest operates as a private limited company because this structure is appropriate for a growing technology business. A limited company creates legal separation between the business and its owners, supports limited liability, and improves credibility with investors, suppliers, and strategic partners. For a company that plans to scale internationally, build partnerships, and attract additional capital, the Ltd. structure is a practical and credible choice.

### 3. Operating and Financial Highlights

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Revenue FY2025

**£500,000**

Net Income FY2025

**£160,000**

Current Ratio

**2.73**

ROI

**45.7%**

Closing Cash Balance

**£95,000**

Current User Base

**30,000+**

As of May 2026, NovaNest presents a strong educational growth case. The company generated solid revenue in FY2025, remained profitable, maintained healthy liquidity, and closed the year with a positive cash position. This combination supports an investor narrative built around product simplicity, financial discipline, and scalable European expansion.

### 4. Letter to Shareholders

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Dear Shareholders,

Financial year 2025 was an important year for NovaNest Technologies Ltd. We strengthened our position in the smart home software market, maintained a modeled customer base of over 30,000 users, and achieved strong financial results. Total revenue reached £500,000, while net income amounted to £160,000. These results reflect the value of our accessible technology model and support our next-stage expansion strategy.

As of May 2026, we are preparing for the next phase of growth. Looking ahead, we aim to launch version 3.0 of our platform, increase our subscriber base, and enter key European markets. We remain committed to innovation, simplicity, and sustainable growth.

Sincerely,

**Alex Carter**

Acting CEO for educational presentation purposes

## 5. Purpose of Financial Statements

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Financial statements help investors, managers, and other stakeholders understand a company's performance, financial position, and movement of cash. The Income Statement shows profitability over a period. The Statement of Owner's Equity explains how the owner's residual interest has changed. The Balance Sheet shows what the company owns and what it owes at a specific date. The Cash Flow Statement shows whether accounting profit is supported by real cash generation. Together, these statements help stakeholders evaluate profitability, liquidity, stability, and investment potential.

## 6. Income Statement

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### NovaNest Technologies Ltd.

Income Statement for the year ended 31 December 2025

| Item                         | Amount (GBP)   |
|------------------------------|----------------|
| Subscription revenue         | 420,000        |
| Setup and integration fees   | 80,000         |
| <b>Total revenue</b>         | <b>500,000</b> |
| Salaries expense             | 180,000        |
| Software development expense | 60,000         |
| Marketing expense            | 45,000         |
| Rent and utilities           | 30,000         |
| Customer support expense     | 25,000         |
| Administrative expense       | 0              |
| <b>Total expenses</b>        | <b>340,000</b> |
| Gains and losses             | 0              |
| <b>Net income</b>            | <b>160,000</b> |

**Interpretation:** Revenue in FY2025 came mainly from recurring subscriptions, which supports the argument that NovaNest operates on a scalable SaaS-style model. Expenses remained controlled, and no unusual gains or losses affected the year's result. The company therefore closed the period with a net income of £160,000.

## 7. Statement of Owner's Equity

### NovaNest Technologies Ltd.

Statement of Owner's Equity for the year ended 31 December 2025

| Item                          | Amount (GBP)   |
|-------------------------------|----------------|
| Opening owner's capital       | 90,000         |
| Add: Net income for FY2025    | 160,000        |
| Less: Drawings / dividends    | 0              |
| <b>Closing owner's equity</b> | <b>250,000</b> |

**Interpretation:** Owner's equity increased from £90,000 to £250,000 because the business generated profit and retained it in the company. This strengthens the company's financial base and supports future expansion planning.

## 8. Balance Sheet

### NovaNest Technologies Ltd.

Balance Sheet as at 31 December 2025

| Assets                                    | Amount (GBP)   |
|-------------------------------------------|----------------|
| Cash                                      | 95,000         |
| Accounts receivable                       | 40,000         |
| Prepaid expenses and other current assets | 15,000         |
| <b>Total current assets</b>               | <b>150,000</b> |
| Software platform and codebase            | 120,000        |
| Equipment and office technology           | 80,000         |
| <b>Total non-current assets</b>           | <b>200,000</b> |
| <b>Total assets</b>                       | <b>350,000</b> |

| Liabilities and Equity | Amount (GBP) |
|------------------------|--------------|
| Current liabilities    | 55,000       |

|                                     |                |
|-------------------------------------|----------------|
| Long-term loan                      | 45,000         |
| <b>Total liabilities</b>            | <b>100,000</b> |
| Owner's equity                      | 250,000        |
| <b>Total liabilities and equity</b> | <b>350,000</b> |

**Interpretation:** The Balance Sheet is balanced correctly at £350,000. The company's asset base is supported primarily by equity rather than debt, which gives the business a relatively stable financial position for a growth-oriented educational case.

## 9. Cash Flow Statement

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### NovaNest Technologies Ltd.

Cash Flow Statement summary for the year ended 31 December 2025

| Item                                  | Amount (GBP)  |
|---------------------------------------|---------------|
| Net cash from operating activities    | 140,000       |
| Net cash used in investing activities | -35,000       |
| Net cash used in financing activities | -10,000       |
| <b>Net increase in cash</b>           | <b>95,000</b> |
| Opening cash balance                  | 0             |
| <b>Closing cash balance</b>           | <b>95,000</b> |

**Interpretation:** NovaNest did not only record accounting profit in FY2025; it also produced positive operating cash flow. This strengthens the investment case because profitability is supported by actual cash generation.

## 10. Investment Case

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### Why NovaNest is a good investment case

- It addresses a clear consumer need: smart home software that is simple, accessible, and affordable.
- It uses a recurring-revenue subscription model.
- It achieved positive net income in FY2025.
- It maintained strong liquidity with a current ratio of 2.73.
- It ended the period with positive cash and a clear expansion plan.

### Investment Request

As of May 2026, NovaNest is seeking **£200,000** in additional investment to support expansion into **Germany, France, and the Netherlands**, strengthen market entry operations, and support product development and growth execution through 2026-2027.

### Comparison

| Option                      | Indicative Return / Characteristic                                                                |
|-----------------------------|---------------------------------------------------------------------------------------------------|
| Government bond             | Approx. 4-5% annual return, lower risk, lower upside                                              |
| Blue-chip stock target      | Approx. 8-12% annual return over time, moderate market exposure                                   |
| <b>NovaNest modeled ROI</b> | <b>45.7% with higher business risk but significantly stronger upside in this educational case</b> |

### Key Ratios

| Metric        | Calculation       | Result |
|---------------|-------------------|--------|
| Current Ratio | 150,000 / 55,000  | 2.73   |
| ROI           | 160,000 / 350,000 | 45.7%  |

## 11. Management Team for the Presentation

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- Alex Carter - Project Manager / Acting CEO
- Mia Johnson - Scope and Strategy Manager
- Daniel Park - Resource Manager
- Sofia Lee - Monitoring and Control Manager
- James Wilson - Financial Manager 1

- Emma Brown - Financial Manager 2
- Noah Smith - Presentation Lead / Investor Relations Lead

## 12. Conclusion

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NovaNest Technologies Ltd. presents a coherent educational growth case in May 2026. The company combines a clear market problem, an accessible software proposition, recurring revenue, positive net income, sound liquidity, and positive cash generation. On that basis, the company is positioned as a credible high-growth investment scenario for a classroom investor presentation focused on FY2025 performance and 2026-2027 expansion.

## 13. Reference List

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References below are real informational sources used to support definitions and market context. Financial figures for NovaNest itself are modeled for educational purposes.

- Investopedia (n.d.) *Financial Statements: List of Types and How to Read Them*. Available at: <https://www.investopedia.com/terms/f/financial-statements.asp> (Accessed: 28 May 2026).
- U.S. Securities and Exchange Commission (n.d.) *Beginners' Guide to Financial Statements*. Available at: <https://www.sec.gov/about/reports-publications/beginners-guide-financial-statements> (Accessed: 28 May 2026).
- MarketsandMarkets (n.d.) *European Smart Home Market Size Report 2024-2029*. Available at: <https://www.marketsandmarkets.com/Market-Reports/european-smart-homes-market-1290.html> (Accessed: 28 May 2026).